MECHANISMS THAT DISCIPLINE FINANCIAL REPORTING QUALITY

Learning Outcome

- describe mechanisms that discipline financial reporting quality and the potential limitations of those mechanisms

Markets may discipline poor financial reporting quality. Companies and nations compete for capital, and the cost of capital is a function of perceived risk—including the risk that a company's financial statements will skew investors' expectations. Thus, in the absence of other conflicting economic incentives, a company seeking to minimize its long-term cost of capital should aim to provide high-quality financial reports. In addition to markets, other mechanisms that discipline financial reporting quality include market regulatory authorities, auditors, and private contracts.

Market Regulatory Authorities

Companies seeking to minimize the cost of capital should maximize reporting quality, but as discussed earlier, conflicting incentives often exist. For this reason, national regulations, and the regulators that establish and enforce rules, can play a significant role in financial reporting quality. Many of the world's securities regulators are members of the International Organization of Securities Commissions (IOSCO). IOSCO is recognized as the "global standard setter for the securities sector" although it does not actually set standards but rather establishes objectives and principles to guide securities and capital market regulation. IOSCO's membership includes more than 120 securities regulators and 80 other securities market participants, such as stock exchanges.[14]

One member of IOSCO is The European Securities and Markets Authority (ESMA), an independent EU authority with a mission to "enhance the protection of investors and reinforce stable and well-functioning financial markets in the European Union."[15] ESMA organizes financial reporting enforcement activities through a forum consisting of European enforcers from European Economic Area countries. Direct supervision and enforcement activities are performed at the national level. For example, the Financial Conduct Authority (FCA) is the IOSCO member with primary responsibility for securities regulation in the United Kingdom. ESMA reported that European enforcers examined the interim or annual financial statements of 1,141 issuers in 2017, which in turn led to enforcement actions for 328 issuers with the following outcomes: 12 required reissuances of financial statements, 71 required public corrective notes, and 245 required corrections to be made in future financial statements.[16]

Another member of IOSCO is the US regulatory authority, the Securities and Exchange Commission. The SEC is responsible for overseeing approximately 9,100 US public companies (along with investment advisers, broker/dealers, securities exchanges, and other entities) and reviews the disclosures of these companies at least once every three years with the aim of improving information available to investors and potentially uncovering possible violations of securities laws.[17] In 2017, the SEC reported that it had filed 754 total and 446 standalone enforcement actions, about 20 percent of which concerned issuer reporting or accounting and auditing.[18]

Examples of regulatory bodies in Asia include the Financial Services Agency in Japan, the China Securities Regulatory Commission, and the Securities and Exchange Board of India. Examples of regulatory bodies in South America include the Comisión Nacional de Valores in Argentina, Comissão de Valores Mobiliários in Brazil, and Comisión para el

Typical features of a regulatory regime that most directly affect financial reporting quality include the following:

- *Registration requirements*. Market regulators typically require publicly traded companies to register securities before offering the securities for sale to the public. A registration document typically contains current financial statements, other relevant information about the risks and prospects of the company issuing the securities, and information about the securities being offered.
- *Disclosure requirements*. Market regulators typically require publicly traded companies to make public periodic reports, including financial reports and management comments. Standard-setting bodies, such as the IASB and FASB, are typically private sector, self-regulated organizations with board members who are experienced accountants, auditors, users of financial statements, and academics. Regulatory authorities, such as the Accounting and Corporate Regulatory Authority in Singapore, the Securities and Exchange Commission in the United States, the Securities and Exchange Commission in Brazil, and the Financial Reporting Council in the United Kingdom, have the legal authority to enforce financial reporting requirements and exert other controls over entities that participate in the capital markets within their jurisdiction. In other words, *generally*, standard-setting bodies set the standards, and regulatory authorities recognize and enforce those standards. Without the recognition of standards by regulatory authorities, the private-sector standard-setting bodies would have no authority. Regulators often retain the legal authority to establish financial reporting standards in their jurisdiction and can overrule the private-sector standard-setting bodies.
- *Auditing requirements*. Market regulators typically require companies' financial statements to be accompanied by an audit opinion attesting that the financial statements conform to the relevant set of accounting standards. Some regulators, such as the SEC in the United States, require an additional audit opinion attesting to the effectiveness of the company's internal controls over financial reporting.
- *Management commentaries*. Regulations typically require publicly traded companies' financial reports to include statements by management. For example, the FCA in the United Kingdom requires a management report containing "(1) a fair review of the issuer's business; and (2) a description of the principal risks and uncertainties facing the issuer" (Disclosure Guidance and Transparency Rules sourcebook).
- *Responsibility statements*. Regulations typically require a statement from the person or persons responsible for the company's filings. Such statements require the responsible individuals to explicitly acknowledge responsibility and to attest to the correctness of the financial reports. Some regulators, such as the SEC in the United States, require formal certifications that carry specific legal penalties for false certifications.
- *Regulatory review of filings*. Regulators typically undertake a review process to ensure that the rules have been followed. The review process typically covers all initial registrations and a sample of subsequent periodic financial reports.
- *Enforcement mechanisms*. Regulators are granted various powers to enforce the securities market rules. Such powers can include assessing fines, suspending or permanently barring market participants, and bringing criminal prosecutions. Public announcements of disciplinary actions are also a type of enforcement mechanism.

In summary, market regulatory authorities play a central role in encouraging high-quality financial reporting.

Auditors

As noted, regulatory authorities typically require that publicly traded companies' financial statements be audited by an independent auditor. Private companies also obtain audit opinions for their financial statements, either voluntarily or because audit reports are required by an outside party, such as providers of debt or equity capital.

information fairly. Exhibit 8 , Exhibit 9, Exhibit 10, and Exhibit 11 provide excerpts from the independent auditors' reports for GlaxoSmithKline plc, Alibaba Group Holding Limited, Apple Inc., and Tata Motors Limited, respectively. For each company, the auditor issued an unqualified opinion on the financial statements, indicating that the financial statements present fairly the company's performance in accordance with relevant standards. (Note: The term "unqualified opinion" means that the opinion did not include any qualifications or exceptions; the term is synonymous with the less formal term "clean opinion." Unqualified opinions are the most common opinions issued.) Other items in the audit reports reflect the specific requirements of the company's regulatory regime. For example, the audit report for GlaxoSmithKline spans nine pages and includes opinions on the company's financial statements as well as the Strategic Report and the Directors' Report. This audit report also includes disclosures about "Key audit matters," in accordance with International Standards on Auditing (ISAs) issued by the International Auditing and Assurance Standards Board (IAASB) in 2015 and effective for periods ending on or after 15 December 2016.

The excerpts for Alibaba, Apple, and Tata Motors show the auditors' opinions on the companies' financial statements and additionally the SEC-required opinions on the effectiveness of the companies' internal controls because these companies are listed in the United States. For Alibaba, a single report includes both unqualified opinions: (1) the financial statements present fairly the financial position, results of operations, and cash flows . . . in conformity with US GAAP; and (2) the company maintained effective control over financial reporting. For Apple, the first report includes the unqualified opinion on the financial statements, and the second report includes the unqualified opinion on the company's effective internal controls. For Tata Motors, the first report includes the unqualified opinion that the financial statements present the company's position and results fairly in accordance with IFRS. (The SEC permits non-US companies to report using US GAAP, IFRS as issued by the IASB, or home-country GAAP.) However, the second report includes an *adverse* opinion on the effectiveness of the company's internal controls: "In our opinion, because of the effect of the material weakness . . . the company has not maintained effective internal control." The report explains that the material weakness involved a third party's inappropriate access to the company's systems. The report further states that although the material weakness resulted in ineffective internal controls, it did not affect the audit opinion on the financial statements. Elsewhere in Tata Motors' annual report (not shown in the excerpt), the company discloses that the weakness did not result in misstatement and that it has undertaken remedial measures.

Exhibit 8:

Excerpt from Audit Opinion of PricewaterhouseCoopers LLP from the 2017 Annual Report *(pages 149–157)* of GlaxoSmithKline plc

In our opinion, GlaxoSmithKline e Group financial statements (the "financial statements"):

- give a true and fair view of the state of the Group's affairs as at 31 December 2017 and of its profit and cash flows for the year then ended;
- have been properly prepared in accordance with International Financial Reporting Standards ("IFRSs") as adopted by the European Union; and
- have been prepared in accordance with the requirements of the Companies Act 2006 and Article 4 of the IAS Regulation.

…

In our opinion, the Group financial statements have been properly prepared in accordance with IFRSs as issued by the IASB.

Key audit matters

Key audit matters are those matters that, in the auditors' professional judgement, were of most significance in the audit of the financial statements of the current period and include the most significant assessed risks of material misstatement (whether or not due to fraud) identified by the auditors, including those which had the greatest effect on: the overall audit strategy; the allocation of resources in the audit; and directing the efforts of the engagement team. These matters, and any comments we make on the results of our procedures thereon, were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. This is not a complete list of all risks identified by our audit.

…

In our opinion, based on the work undertaken in the course of the audit, the information given in the Strategic Report and Directors' Report for the year ended 31 December 2017 is consistent with the financial statements and has been prepared in accordance with applicable legal requirements.

Exhibit 9:

Excerpt from Audit Opinion of PricewaterhouseCoopers Hong Kong, SAR from the Annual Report *(SEC Form 20-F, pages F-2 and F-3)* of Alibaba Group Holding Limited for the year ended 31 March 2018

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the financial position of the Company as of March 31, 2017 and 2018, and the results of their operations and their cash flows for each of the three years in the period ended March 31, 2018 in conformity with accounting principles generally accepted in the United States of America. Also in our opinion, the Company maintained, in all material respects, effective internal control over financial reporting as of March 31, 2018, based on criteria established in Internal Control — Integrated Framework (2013) issued by the COSO.

Exhibit 10:

Excerpt from Audit Opinion of Ernst & Young from the Annual Report (*SEC Form 10-K, pages 70 and 71*) of Apple Inc. for the year ended 30 September 30 2017

[From the Financial Statement Opinion]

We have audited the accompanying consolidated balance sheets of Apple Inc. as of September 30, 2017 and September 24, 2016, and the related consolidated statements of operations, comprehensive income, shareholders' equity and cash flows for each of the three years in the period ended September 30, 2017.

…

September 24, 2016, and the consolidated results of its operations and its cash flows for each of the three years in the period ended September 30, 2017, in conformity with U.S. generally accepted accounting principles.

We also have audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States), Apple Inc.'s internal control over financial reporting as of September 30, 2017, based on criteria established in Internal Control – Integrated Framework issued by the Committee of Sponsoring Organizations of the Treadway Commission (2013 framework) and our report dated November 3, 2017 expressed an unqualified opinion thereon.

[From the Internal Controls Opinion]

We have audited Apple Inc.'s internal control over financial reporting as of September 30, 2017, based on criteria established in Internal Control – Integrated Framework issued by the Committee of Sponsoring Organizations of the Treadway Commission (2013 framework) ("the COSO criteria").

…

In our opinion, Apple Inc. maintained, in all material respects, effective internal control over financial reporting as of September 30, 2017, based on the COSO criteria.

We also have audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States), the 2017 consolidated financial statements of Apple Inc. and our report dated November 3, 2017 expressed an unqualified opinion thereon.

Exhibit 11:

Excerpt from Audit Opinion of KPMG Mumbai, India from the Annual Report (*SEC Form 20-F, pages F2 to F4*) of Tata Motors Limited for the year ended 31 March 2018

Opinion on the Consolidated Financial Statements

We have audited the accompanying consolidated balance sheet of Tata Motors Limited and its subsidiaries (the "Company") as of March 31, 2018, the related consolidated income statement, statement of comprehensive income, statement of cash flows, and statement of changes in equity for the year ended March 31, 2018, and the related notes and financial statement schedule 1 (collectively, the consolidated financial statements).

In our opinion, the consolidated financial statements present fairly, in all material respects, the financial position of the Company as of March 31, 2018, and the results of its operations and its cash flows for the year ended March 31, 2018, in conformity with the International Financial Reporting Standards as issued by the International Accounting Standards Board ("IFRS").

We also have audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States) (PCAOB), the Company's internal control over financial reporting as of March 31, 2018, based on criteria established in Internal Control – Integrated Framework (2013) issued by the Committee of Sponsoring Organizations of the Treadway Commission, and our report dated July, 31, 2018

…

Opinion on Internal Control Over Financial Reporting

We have audited Tata Motors Limited's and subsidiaries' (the Company) internal control over financial reporting as of March 31, 2018, based on criteria established in Internal Control – Integrated Framework (2013) issued by the Committee of Sponsoring Organizations of the Treadway Commission. In our opinion, because of the effect of the material weakness described below, on the achievement of the objectives of the control criteria, the Company has not maintained effective internal control over financial reporting as of March 31, 2018, based on criteria established in *Internal Control – Integrated Framework (2013)* issued by the Committee of Sponsoring Organizations of the Treadway Commission.

…

A material weakness is a deficiency, or a combination of deficiencies, in internal control over financial reporting, such that there is a reasonable possibility that a material misstatement of the company's annual or interim financial statements will not be prevented or detected on a timely basis. A material weakness related to inappropriate system access restrictions at a third party logistics provider has been identified and included in management's assessment. The material weakness was considered in determining the nature, timing, and extent of audit tests applied in our audit of the 2018 consolidated financial statements, and this report does not affect our report on those consolidated financial statements.

Although audit opinions provide discipline for financial reporting quality, inherent limitations exist. First, an audit opinion is based on a review of information prepared by the company. If a company deliberately intends to deceive its auditor, a review of information might not uncover misstatements. Second, an audit is based on sampling, and the sample might not reveal misstatements. Third, an "expectations gap" may exist between the auditor's role and the public's expectation of auditors. An audit is not typically intended to detect fraud; it is intended to provide assurance that the financial reports are fairly presented. Finally, the company being audited pays the audit fees, often established through a competitive process. This situation could provide an auditor with an incentive to show leniency to the company being audited, particularly if the auditor's firm provides additional services to the company.

Private Contracting

Aspects of private contracts, such as loan agreements or investment contracts, can also serve as mechanisms to discipline poor financial reporting quality. Many parties that have a contractual arrangement with a company have an incentive to monitor that company's performance and to ensure that the company's financial reports are high quality. For example, loan agreements often contain loan covenants, which create specifically tailored financial reporting requirements that are legally binding for the issuer. As noted earlier, avoidance of debt covenant violation is a potential motivation for managers to inflate earnings. As another example, an investment contract could contain provisions giving investors the option to recover all or part of their investment if certain financial triggers occur. Such provisions could motivate the investee's managers to manipulate reported results to avoid the financial triggers.

Because the financial reports prepared by the investees or borrowers directly affect the contractual outcomes—potentially creating a motivation for misreporting—investors and lenders are motivated to monitor financial reports and to ensure that they are high quality.

EXAMPLE 4

Mechanisms

For each of the following two scenarios, identify (1) factors that might motivate the company's managers to manipulate reported financial amounts and (2) applicable mechanisms that could discipline poor financial reporting quality.

1. ABC Co. is a private company. Bank NTBig has made a loan to ABC Co. ABC is required to maintain a minimum 2.0 interest coverage ratio. In its most recent financial reports, ABC reported earnings before interest and taxes of USD1,200 and interest expense of USD600. In the report's notes, the company discloses that it changed the estimated useful life of its property, plant, and equipment during the year. Depreciation was approximately USD150 lower as a result of this change in estimate.

   Hide Solution

   Solution:

   The need to maintain a minimum interest coverage ratio of 2.0 might motivate ABC's managers to manipulate reported financial amounts. The company's coverage ratio based on the reported amounts is exactly equal to 2.0. If ABC's managers had not changed the estimated useful life of the property, plant, and equipment, the coverage ratio would have fallen below the required level.

EBIT, as reported	USD1,200
Impact on depreciation expense of changed assumptions about useful life	150
EBIT, as adjusted	USD1,050
Interest expense	USD600
Coverage ratio, as reported	2.00
Coverage ratio, as adjusted	1.75

   The potential disciplining mechanisms include the auditors, who will assess the reasonableness of the depreciable lives estimates. In addition, the lenders will carefully scrutinize the change in estimate because the company only barely achieved the minimum coverage ratio and would not have achieved the minimum without the change in accounting estimate.

2. DEF Co. is a publicly traded company. For the most recent quarter, the average of analysts' forecasts for earnings per share was USD2.50. In its quarterly earnings announcement, DEF reported net income of USD3,458,780. The number of common shares outstanding was 1,378,000. DEF's main product is a hardware device that includes a free two-year service contract in the selling price. Based on management estimates, the company allocates a portion of revenues to the hardware device, which it recognizes immediately, and a portion to the service contract, which it defers and recognizes over the two years of the contract. Based on the disclosures, a higher percentage of revenue was allocated to hardware than in the past, with an estimated after-tax impact on net income of USD27,000.

   Hide Solution

   Solution:

   The desire to meet or exceed the average of analysts' forecasts for earnings per share might motivate DEF Co.'s managers to manipulate reported financial amounts. As illustrated in the following calculations, the impact of allocating a greater portion of revenue to hardware enabled the company to exceed analysts' earnings per share forecasts by USD0.01.

Net income, as reported	USD3,458,780

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Net income, as adjusted	USD3,431,780
Weighted average number of shares	1,378,000
Earnings per share, as reported	USD2.51
Earnings per share, as adjusted	USD2.49

Potential disciplining mechanisms include the auditors, market regulators, financial analysts, and financial journalists.

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